

MORNING BRIEFING — WEDNESDAY, 29 JULY 2026

Generated ~07:15 BST · London pre-open · Data collected via web search during this session, cross-referenced across at least two sources where possible.

2. IMPORTANT NEWS

Iran launches missile attack on US Middle East bases, intercepted; US and Saudi forces strike militia targets in Iraq. Bloomberg, Al Jazeera

Reignites the geopolitical risk premium in oil and drives a sharp pre-open risk-off tone in equity futures, just hours before the Fed decision.

FOMC rate decision due today at 18:00 BST (13:00 ET), press conference 18:30 BST. CBS News, CME Group

Fed expected to hold at 3.50%–3.75% ("hawkish hold"); market watching for 2–4 dissents in favour of a hike. Sets the rate-path and dollar tone into August.

Global chip-stock rout deepens after China's CXMT completes an \$8.6bn Shanghai IPO and reports of a domestic DUV lithography breakthrough. Bloomberg, Benzinga, Yahoo Finance

Kospi fell 10.84% on Tuesday (circuit breaker triggered, Samsung -13.4%, SK Hynix -14.7%), the sharpest single-day Asian chip-driven move in years. Reprices the global memory scarcity trade.

Microsoft and Meta report earnings after the US close today; Apple and Amazon follow tomorrow. TipRanks, 24/7 Wall St.

Both stocks carry ~95% "beat" odds already priced in — FY27 AI capex guidance, not the print itself, is the real swing factor for the broader tech complex.

Warner Bros Discovery downgraded to Neutral by Seaport Research after Paramount Skydance delays its acquisition to as late as June 2027. Seaport Research Partners (via market wires)

Pushes out one of the year's largest pending media M&A deals, pressuring WBD and re-rating sector consolidation timelines.

3. EUROPEAN FUTURES (PRE-OPEN)

INDEX	LEVEL	EXPECTED MOVE	TIME (BST)
Euro Stoxx 50 futures (Eurex)	~6,326	~-0.2% indicated	~07:00
DAX futures	n/a	~+0.5% indicated (cash proxy)	~07:00
CAC 40 futures	n/a	n/a	—
FTSE 100 futures	n/a	~+0.1% indicated	~07:00
S&P 500 futures (context)	n/a	-0.12%	Pre-mkt US
Nasdaq 100 futures (context)	n/a	-0.49%	Pre-mkt US

Early indications point to a cautious, mixed European open: Euro Stoxx 50 futures softer, DAX and FTSE indicated marginally higher. US futures are softer as the chip selloff bleeds into Wall Street pre-market and traders position ahead of the FOMC decision this evening. Exact opening-print futures levels for CAC 40 and DAX could not be reliably sourced this morning — treat directional bias as indicative only.

4. YESTERDAY'S CLOSES — EUROPEAN INDICES (28 JULY 2026)

INDEX	CLOSE	CHANGE
Euro Stoxx 50 (proxy: EU50)	~6,311	+0.40%
DAX 40 (Germany)	n/a (exact level)	+0.41%
CAC 40 (France)	8,458.78	+0.63%
FTSE 100 (UK)	10,871.02	+0.83%

All four benchmarks closed higher Tuesday, outperforming North America as sovereign yields eased. Banks were sharply higher (Santander, BNP Paribas +2%+), and software names jumped on SAP's +7.8% move. Energy lagged as TotalEnergies, BP and Shell fell 4.5%, 3.4% and 1.5% respectively on the then-declining oil price, ahead of the overnight reversal.

5. US MARKETS — YESTERDAY'S SESSION (28 JULY 2026)

INDEX	CLOSE	CHANGE
Dow Jones Industrial Average	52,747.32	+1.03% (+537.24 pts)
S&P 500	7,428.78	+0.21%
Nasdaq Composite	24,876.91	−0.22%

Tone: A clean rotation session — money moved out of chipmakers into defensives and earnings-driven value names. Falling oil prices (pre-reversal) and strong earnings supported the Dow.

Leading sectors: Healthcare (S&P Health Care +2.33%/XLV +2.7%, fresh intraday all-time high) and Financials (+1.18%/XLF +0.5%, also an intraday ATH).

Lagging sectors: Technology (−1.17% to −1.4%), dragged by the chip complex — Nvidia, AMD, Micron and Intel all down 1.2%–4% intraday.

Key takeaway: Markets are actively de-risking out of the AI/semiconductor trade into "boring" sectors ahead of a heavy catalyst stack (FOMC + Big Tech earnings) this week.

6. ASIAN MARKETS — OVERNIGHT SESSION (29 JULY 2026)

INDEX	LEVEL	CHANGE
Nikkei 225	61,105	+2.02% (rebound)
Hang Seng	n/d	~flat / +0.1% (approx., sourcing inconsistent)
Shanghai Composite	n/d	−0.53%
Kospi (South Korea)	n/d	Lower again (−492 pts); precise % n/a

A fragile stabilisation attempt after Tuesday's historic Kospi rout: the index fell 10.84% Tuesday to 6,023.66, triggering a circuit-breaker halt, as Samsung (−13.4%) and SK Hynix (−14.7%) were hit by CXMT's \$8.6bn Shanghai IPO and China's reported domestic DUV lithography breakthrough. The Nikkei is bouncing hard (+2.02%) on chip-sector dip buying, while Kospi and Shanghai remain under pressure, still digesting the memory-sector repricing. The overnight Iran-US escalation and oil spike add a second layer of risk-off into the FOMC decision. Note: several data providers show conflicting exact percentage moves for Hang Seng and Kospi this morning — treat precise figures with caution and verify on a terminal before trading.

7. COMMODITIES

COMMODITY	LEVEL	CHANGE	TIME (BST)
Brent (ICE, USD/bbl)	86.97	+3.42% (overnight, post-Iran attack)	~06:45
WTI (NYMEX, USD/bbl)	82.09	+3.58% (overnight)	~06:45
Gold (XAU/USD, USD/oz)	4,026.33	−1.25% (Tue close)	Tue close
Copper (Comex, USD/lb)	6.34	+0.72%	~06:45
Natural Gas (Henry Hub, USD/MMBtu)	n/a	n/a	—

Oil has snapped back sharply overnight after Iran's intercepted missile attack on US bases and retaliatory US/Saudi strikes in Iraq, reversing three sessions of declines (Brent had lost ~16% peak-to-trough, its steepest drop since 2020, before this bounce). Gold slipped Tuesday as a stronger dollar and FOMC-eve caution weighed on the metal, even as it continues to hover near the \$4,000 level for the year. Copper remains firm on resilient demand. Watch the EIA weekly inventories release (~15:30 BST) as the next oil catalyst, alongside any further Iran-Iraq-Saudi headlines.

8. RATES & FX

INSTRUMENT	LEVEL	CHANGE	TIME (BST)
US Treasury 10Y	4.63%–4.65%	Easing slightly	Tue close
German Bund 10Y	~3.20%	Just off 15-year high	Tue close
EUR/USD	1.1366	~flat	~06:50
GBP/USD	1.3295	~flat (range 1.3281–1.3298)	~06:50
DXY (Dollar Index)	101.53	~flat, +0.42% over the month	~06:50

Treasuries and Bunds are consolidating just off recent highs ahead of the Fed decision. FX is quiet into the event — the dollar has been the strongest major over the past month but is directionless this morning, with EUR/USD and GBP/USD both range-bound. Expect the real move in rates and FX after the 18:00 BST FOMC statement and 18:30 press conference.

9. DCM — PRIMARY BOND MARKET

YESTERDAY'S ISSUANCES

n/a — no specific EUR IG/HY corporate, SSA or financials deal terms (issuer, size, maturity, spread) could be reliably sourced for 28 July 2026 in this session's searches. GlobalCapital/IFR subscription content was not accessible.

PIPELINE / EXPECTED TODAY

SSA: no new euro SSA mandates were announced at the start of this week — GlobalCapital flagged it as the first "empty" SSA week of the year. New-issue concessions (NICs) on euro IG corporate paper have been climbing since early July, a sign the easy issuer-friendly conditions from earlier in the month are fading. 2026 remains on track for a record ~€1,350bn of eurozone medium/long-term sovereign supply. Expect a quiet primary session today given the FOMC decision and overnight Middle East headlines — issuers are likely to stay on the sidelines until post-Fed clarity.

KEY SPREADS

INDEX	LEVEL	MOVE	DIRECTION
iTraxx Main	n/a	n/a	No reliable current figure sourced
iTraxx Crossover	246 bps (stale — as of 9 Jul)	–5 bps that day	TIGHTENING (AS OF 9 JUL)
CDX IG	n/a	n/a	No reliable current figure sourced
Avg. EUR Corporate IG spread	n/a	n/a	No reliable current figure sourced

Commentary: The primary window is narrowing, not shut — NICs are rising and the SSA calendar has gone quiet, both signs of a market getting more selective rather than closing outright. Expect a defensive tone in credit today given the overnight oil spike and Middle East escalation; the balance of risk on iTraxx into the European open is toward modest widening, though no live spread print could be confirmed this morning. Industrials and financials issuers are best placed to opportunistically print if risk sentiment stabilises post-FOMC; energy and transport-linked names likely to see wider new-issue concessions while the Hormuz situation stays live.

10. ECONOMIC CALENDAR

TIME (BST)	INDICATOR	CONSENSUS	IMPORTANCE
14:30	US EIA Weekly Refinery Utilization / Cushing Inventories	n/a	MEDIUM
~15:30	US EIA Weekly Petroleum Status Report (crude inventories)	n/a	MEDIUM
18:00	FOMC Interest Rate Decision (expected hold, 3.50%–3.75%)	Hold; watch dissent count	HIGH
18:00	FOMC Statement	n/a	HIGH
18:30	FOMC Press Conference (Chair Warsh)	n/a	HIGH

No major scheduled Eurozone or UK data releases were confirmed for today in this session's searches — the German/Eurozone flash HICP for July and the US Q2 GDP advance estimate both land tomorrow, 30 July. Today's calendar is thin and entirely dominated by the Fed. Note: this session is a two-day FOMC meeting (28–29 July); no Summary of Economic Projections is published at this meeting.

11. CORPORATE EVENTS & EARNINGS

UNITED STATES (AFTER THE CLOSE UNLESS NOTED)

Microsoft (MSFT) — FY26 Q4, consensus EPS \$4.22–\$4.24, revenue \$87.5bn–\$87.67bn · Meta Platforms (META) — Q2 FY26, consensus EPS \$7.18–\$7.24, revenue guide \$58bn–\$61bn · Procter & Gamble (PG) · Vertiv (VRT) · General Dynamics (GD) · Aon (AON) · Lam Research (LRCX) · Arm Holdings (ARM) · Qualcomm (QCOM) · Starbucks (SBUX).

EUROPE

n/a — no confirmed European corporate earnings or AGMs for 29 July could be reliably sourced this morning; check company IR calendars/LSEG directly for pre-open confirmations.

12. STOCKS TO WATCH

COMPANY	REASON	DIRECTION
Microsoft / Meta	Report after today's US close; ~95% beat odds priced in, FY27 AI capex guidance is the real swing factor	Volatile
Warner Bros Discovery (WBD)	Downgraded to Neutral (Seaport) after Paramount Skydance delays acquisition to June 2027	Down
Vale (VALE)	Downgraded Buy→Neutral by Goldman, PT \$16 (Mining)	Down
Stellantis (STLA)	Downgraded Overweight→Underweight by Piper Sandler	Down
Ford (F) / General Motors (GM)	Both upgraded to Buy by Jefferies (PT \$17.50 / \$99)	Up
Micron / Nvidia / AMD / SK Hynix	Continued chip-sector pressure from CXMT's Shanghai IPO and China's DUV breakthrough	Down
Saipem	Down 7.6% Tuesday after cutting 2026 core earnings guidance on Middle East cost impact (Energy services)	Down
TotalEnergies / BP / Shell	Fell Tuesday on lower oil, now facing an overnight oil-price reversal higher (Energy)	Watch
HF Sinclair (DINO)	Announced plan to separate its Lubricants & Specialties segment via the capital markets	Up
General Dynamics (GD)	Reports earnings today; backlog of \$130.84bn at Q1 2026 (Aerospace & Defense)	Watch

13. MACRO / CORPORATE / POLITICAL HIGHLIGHTS

MACRO

Fed decision today under Chair Kevin Warsh — "hawkish hold" expected, with 2-4 dissents possible in favour of a hike; the Fed's own June dot plot already flipped hawkish, with the median 2026 year-end rate seen at 3.8%, up from 3.4% in March. German Bund yields sit just off a 15-year high on heavy fiscal supply. ECB's July bank lending survey showed a net 7% of euro-area banks tightening standards for corporate loans, most pronounced in autos and energy-intensive manufacturing.

CORPORATE

CXMT's \$8.6bn Shanghai IPO — Asia's largest of 2026 — reprices the global memory/chip landscape overnight. Paramount Skydance pushes its Warner Bros Discovery acquisition out to mid-2027. HF Sinclair moves to spin off its Lubricants & Specialties unit.

POLITICAL / GEOPOLITICAL

Renewed Iran-US military exchange after several days of calm: an intercepted Iranian missile attack on US bases, followed by US/Saudi strikes on militia targets in Iraq. Oman has proposed a joint regional mechanism for the Strait of Hormuz, including voluntary Iranian transit fees, reportedly gaining support among Gulf states as a potential de-escalation path.

14. KEY THEMES — TOP 5 BY HORIZON

TODAY'S TOP 5

1. FOMC decision, 18:00 BST

Hawkish-hold expected; dissent count is the real market mover for rates and the dollar.

2. Microsoft & Meta earnings

After US close — FY27 AI capex guidance is the swing factor for the whole tech complex.

3. Iran-US escalation

Further headlines out of Iraq/Saudi/Hormuz will directly drive Brent and WTI intraday.

4. Chip-sector stabilisation attempt

Nikkei rebounding vs. continued Kospi/Shanghai weakness after Tuesday's historic rout.

5. EIA weekly crude inventories, ~15:30 BST

Additional catalyst for an already volatile oil complex.

THIS WEEK'S TOP 5

1. Apple & Amazon earnings (Thu)

Closes out the "Magnificent Seven" Q2 season.

2. US Q2 GDP advance estimate (Thu)

First read on growth momentum heading into H2.

3. Eurozone & German flash HICP for July (Thu)

Key input for the ECB's next move.

4. Hormuz de-escalation talks

Oman's proposed transit-fee mechanism could sharply reprice the oil risk premium either way.

5. Chip/memory sector fallout

Continued repricing across global names after the CXMT IPO and DUV breakthrough headlines.

15. KEY TRENDS TO WATCH

1 DAY

FOMC statement language and dissent count; Microsoft/Meta after-hours reaction; any fresh Iran/Iraq/Saudi headlines moving Brent and WTI intraday.

1 WEEK

Apple and Amazon earnings Thursday; US Q2 GDP and Eurozone flash HICP Thursday; whether the Nikkei/Kospi chip-sector volatility settles or extends; progress (or lack of it) on Hormuz security talks.

1 MONTH

August tariff-deadline risk; further Fed dot-plot repricing into the September meeting; the market's ability to absorb a record ~€1,350bn of 2026 eurozone sovereign supply; durability of the AI capex narrative once this week's hyperscaler guidance is digested.

Sources: Bloomberg, Reuters, CNBC, CBS News, Al Jazeera, TipRanks, Yahoo Finance, Benzinga, GlobalCapital, Trading Economics, Investing.com, Seaport Research Partners, CME Group, ECB, BEA, 24/7 Wall St., The Washington Post.

Data collected automatically. Verify before making any decision.